AI Can Change the Worldâ€”and Still Become a Bubble

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode argues that the U.S. government has entered a structural phase where "growing its way out" of the debt crisis is mathematically impossible due to baseline budgeting mechanisms and fixed entitlement growth rates, necessitating actual spending caps rather than inflationary financing. This macro tension creates an inevitable correction period for public debt (the "bill coming due"), which exacerbates risks in capital-intensive sectors like AI, where oversupplied production pipelines and ecosystem diversification often lead to margin compression once demand equilibrium is reached.

2. Key Arguments & Data:

3. **Treasury Intervention:** The Treasury's recent announcement regarding bond market pricing (potentially Yield Curve Control) is viewed not as emergency stimulus but as the formal commencement of debt repayment mechanisms. Officials acknowledge that current market prices do not accurately reflect their debt value ("market's stupid"), a shift distinct from past QE measures which were shock therapies rather than structural corrections.
4. **The "Bill Coming Due":** Public debt (~$40 trillion) and GDP ($30 trillion) creates an unsustainably high interest burden where debt must grow faster than 2.5% to match economic growth if rates remain elevated. Without capping spending, the debt-to-GDP ratio worsens continuously.
5. **Baseline Budgeting:** Entitlement spending (Social Security, Medicare, etc.) is subject to automatic budgetary ratchets of approximately 3.5% per year due to indexation and demographics, making it nearly impossible to reduce without structural reform or tax hikes (disinflation taxes).
6. **AI CapEx Risk:** Historical Capital Expenditure booms (railroads, coal, Dot-com) consistently overshoot supply-demand equilibrium. AI follows this pattern: production pipelines are long compared to price changes, leading to inevitable crash points where future orders cannot match current capacity.

7. **Nvidia & Ecosystem Diversification:** High exposure to AI infrastructure creates a complex web of ecosystem investments that dilute underlying returns. Nvidia's valuation is being scrutinized as it builds out its supply chain through debt/equity financing that may not yield proportional cash flow returns, potentially masking financial reality (similar to 2008 bank derivatives).
8. **Margin Compression:** Hyperscalers and AI companies face risks if pricing models shift; margins could drop from ~75-76% to near 45% within 30 days due to price wars or free-tier competition, similar to the volatility seen in offshore rig markets.

9. **Market Wrap:** The market was "flat" (S&P and Dow flat to +tiny gains), suggesting a "nothing burger" day as investors adjust to these macro realities. Gold, silver, and mining stocks declined due to higher yield expectations despite previous runs.

10. Actionable Takeaways:

11. **Adjust Capital Allocation:** Be cautious with companies that have excessive ecosystem investments or AI beta exposure (like Nvidia) where valuation relies on long-term CapEx pipelines rather than immediate earnings quality.
12. **Watch for Margin Signals:** Monitor hyperscalers and cloud providers closely for pricing signals; if utilization drops below day-rate levels, expect sharp margin compression in the next quarter.
13. **Focus on Hard Cash Flow:** Avoid opaque financial structures or complex derivatives-heavy businesses (like traditional banks or over-leveraged tech) where underlying stress testing is difficult; prioritize assets with clear revenue streams and no "too hard" risk profile.
14. **Expect Structural Friction:** Acknowledge that inflation cannot solve debt dynamics given baseline budgeting constraints; invest in sectors that benefit from lower debt servicing costs or are less dependent on political entitlement reform trajectories.
15. **Prepare for Volatility:** While the day was flat, expect increased volatility as market participants reprice risk regarding Treasury yields and AI supply chains before a major correction event occurs at Jackson Hole.

Full Transcript

If you look at history, like the last 500 years of the way CapEx booms work, go back to coal, canals, train, rail, dot com or whatever. The problem with those things are the things we throw a bunch of money at that are really changing the world for the better is nobody knows when to stop. Nobody knows when supply and demand have met. We always overshoot. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself mr. Chase Taylor Man, I was bummed that I couldn't do dots with you yesterday because You use an official term that was sort of a biggin, you know Announcement by Treasury so want want to dig into that more today You know, it's something really we'll get into the rundown, but it's something that I was thinking about It's so interesting when these things and I feel a really high level of certainty that at some point in time those that know right like one of the things that history teaches you is that at the at the present and especially Looking back in hindsight Usually the chain of events is not called correctly right usually looking back You know like for instance we talk when we start talking about world war two if you ask the average high school graduate what started world war two if they even know they'll probably tell you the bombing of pearl harbor they won't bring up the embargo right that we put around japan. And blocking the right so usually history misses these things but in terms of how this will actually play out i feel as certain as i is i feel like you can. Feel in this business that i'm.

In hindsight, we will look back to this, and this will be a moment, and that will be a decision. Treasury announcing this will be something that will be seen as historically significant. That's my belief. And people go, well, what do you mean? And I go, look, I'm not telling you I know how it's going to play out. Nobody does. I'm not telling you I know exactly how all the mechanisms are going to work and the timing and what levels we get to and all that kind of stuff. What I will say is that, to me, it is officially the beginning of the bill coming due. You know what I mean? Yeah, absolutely. I mean, like we talked about before, like, it's not like we didn't know yield curve control is going to come someday. But, you know, that was essentially the, you know, the starting gun for like doing it. And, you know, we've done QE before, but that was more of a like, trying to, trying to like shock the patient back to life, because the economy was so bad. Or it was like, let's paper over the one off we have to do for COVID, which those are like way different cases than this. This one is like inflation is high. So bond yields want to go high, you know, not just inflation, but like other things, pressing yields higher, but, and we don't want the market to, you know, to punish us for running it hot. So we're just not going to let it, like that's way different. And to your point, that's why it is significant that they went there.

And, and then, and then of course, uh, you know, our boy, the, the drach himself wrote the op-ed piece. Apparently the focus for most of the people was, is that he wrote it with the assistance of yes, up, up on the board. So wait for my future to get up there. What were you going to say? She was awesome. He just owns it too. They're like, did you use AI? He's like, yeah, of course they use AI. Like, yeah, it's cool. So then, then that becomes the entire focus by people that I think are actually intelligent, even by people like Ben Hunt and I'm sitting there going, Hey guys, uh, if I'm not mistaken, Druck didn't charge you for that, right? Like he's not trying to sell a book here, right? He just got across better than he could have for this own writing. Right. And I thought the point that he made out, I sent you a text when that piece came out the other day where I said, reading this makes me feel significantly smarter. Meaning, um, and not like saying that he's the God of all things finance, but when that thing came out, One of the things I've learned in finance and economics is that when these things get announced, not to get carried away judging them in a snapshot, right, to really dig through it, look at the different implications, really study it. But

on the face of it, like I told you, and I think you and I were agreement, the first blush comments I had to it were, again, that first text I sent you saying, Was there something that happened in the bond market that I'm not aware of? And Druck really highlighted and he used the exact same terminology you and I were using as he's like, this wasn't a guilt's moment. This wasn't a Liz trust moment, which you'd understand that response. And I think that that because it wasn't that, I think that speaks so loudly. And he made the point. This was not containing a contagion. This was saying we don't like the market price you're assigning to our debt. Exactly.

And that isn't an entirely different pair to be exact. That's why it's so significant compared to everything in the past. Like I don't think I don't like when you go back to COVID when they were just like, look, here you go. It's like two trillion bucks. Like give us the bonds, like whatever it was, like given the backdrop, I feel like everyone could have just looked at that and be like, yeah. Okay. That makes sense. Like whatever. Like this is crazy time and it's not time to let that stuff get in the way. Fine. Um, but this one truly is just like. I mean, and Besson even has been saying basically like the market's just got it wrong. I know what the price is and the market's stupid and it doesn't know the price. I know the things that the market doesn't and like, and I thought it drug slash Claude did a great job of pushing back on that. Like no, no, no, no. Like, and Mark Dahl the other day made this point of like, this is like EM stuff. Whenever you're telling the market, like that what it should believe and like it should understand you. No, no, no, no. You have to understand the market and like, I think that's spot on now. We're always going to go here. That's fine But I I just expected to like to have a stocking horse of a crisis to do it not not just like one day a Treasury secretary decides That's the wrong price and yeah, it's just yeah Yeah, I agreed and and it's not like I'm not It's the Streisand effect big time because like no one cared and then now everyone cares because he highlighted it so vigorously that everyone's like, whoa, what's going on? You know what I mean? Like, sure, yields were high, but... And like you point out, and like Druck did too, right? This wasn't a crisis. And so at the same time, and he highlighted one of the things that you and I talked about too, which was...

Look, I think that, again, history won't pay it enough attention, but I think one of the dumbest things I've ever seen in my entire life by anybody was

looking at the amount of 20 and 30 year debt we had out there when interest rates were zero and the long bond was trading sub two. And the fact that we weren't terming that out, right? And if people want to know what we're terming it out, meaning why weren't you issuing much shorter term paper? and buying that long term paper back, or not even that, issuing much longer term paper issues, sorry, but issue a bunch of 20s and 30s, issue a bunch of 30s at 2%. And at one point, I mean, you know, getting the bottom in COVID, I mean, I want to say the 30 year got down to what? It got sub one, didn't it? Yeah, let me look. So speaking of this, I know the 10 year got down to like 0.35 or something like that.

So speaking of this like I see a lot of people push back on this and say like well Yeah, but then if they try then them, you know Then the rates were just ripped if they tried that my my response to that is is who cares like I don't anything you could have sold under four would have been pretty sweet Especially anything you could have sold under three so We got all the way down sub 1%. We absolutely helped. Yeah, Chase. And I totally disagree with that. That is a comment or a critique that a non-market operator would have made because you could have done anything you wanted. When you were looking at March, April, May of 2020, you could have been doing that. There's no way you would have seen the yield on the 30-year go above 2.5 or 3 at that point. So the lowest monthly close is 1.2.

And that's the situation where like, I don't care if you gap it up to three, like that's that, or at least two and a half, like that's still, that's doable, right? Yeah. And it was long-term that is so such a juicy. opportunity. So I don't care. Right. And when the economy was shut down, the third, the long bond was not going to rally that hard. I mean, look, it could have gone a little harder than I thought it would have. But when the economy was effectively shut down in March, you could have announced that that thing wasn't going to run, not in that environment. I mean, nobody knew. Anyway, I just, okay, so getting back to my point, though, I don't think that what Besant said, and you may disagree, I don't think it's on par with that, like meaning, like you said, we were gonna have to do something like this eventually. It was an eventuality. But to me, it just felt like you were pulling out a bazooka to kill a housefly, meaning you needed to keep...

We needed to keep what we should have been doing is taking measures like that and keeping them in our holster for as long as we possibly could while we were Responsibly dealing with some of the underlying causes and trying to make those less acute and then pulling out now Can we do that in the setup that you currently have in DC that that's up for debate I mean we we've got a pretty messed up political process that distant that really makes it virtually impossible for any responsible actor to make any reasonable and meaningful long-term change, right? I mean, this is the only administration that's even pretended they were going to do something about debt and deficits. Right. So, like, they were the hope. So, the fact that they went from that to we're going to grow our way out within six months, like, if this group wasn't going to do it and now they're on the opposite end of it, like, who, you know, who is, right? You know, and that's a really good point because, look, You never want to say something's impossible, but I want people to understand a little bit what we mean when we say we cannot grow out of this problem, okay? So maybe the actual numbers are a little bit different, but just for the sake of understanding for people, okay? When I've got 30 trillion in debt or excuse me, when I've got 40 trillion in debt and a 30 trillion dollar economy, okay? If that debt is growing at two and a half percent, Okay now and the economy is growing at three that debt problem continues to get worse and worse because the debt pile is 33% larger than the economy Okay, if you get them growing at the same pace the debt continues to get larger as a percentage of GDP, right? So what does that mean? It means that when you're talking about growing your way out of the problem you have to at least get close to stalling out the growth of your debt, right? Like just keeping, now you can keep adding debt, but you have to, you have to cap spending, right? At the very least, you got to cap it. You know, maybe you don't have to reduce it, but you got to cap it and allow that growth to start catching up. And then you can catch up. Okay, have you heard any of them talk?

about capping the growth of spending. Oh because you can't because most of it's indexed to inflation and demographics and those things are moving in a way where it would be a significant real cut in spending and added benefits to like old and poor people. Yeah, and then okay, then if you look and they go well, yeah, but if you're you know and the people that back that up will be like well Yeah, but you could grow you could keep growing

spending by two and a half percent a year and if you're growing the economy at six or seven and I go guys do you know it like just Look at we don't even have to take our word for it. Look at recent developments If you're growing GDP in an economy like this It's this stretched and this historically expensive on all levels at 6%. Do you know what that does to inflation? I mean, I mean, you want to see people, you want to see, you want to see guillotines getting rolled out in the middle of the street, hit 6% growth. You'll get there. By the way, a literal guillotine got confiscated the other day. So I saw it on the internet. I can't remember where it was. It was in the back of a truck and they like pulled the guy over and, and like arrested him and took it or whatever. But.

So that was more real than you think. That's like a second amendment violation, isn't it? Every man's got the right to own a guillotine. I know, I was kind of like, I kind of support this, but also like, why is that illegal? Like, you can have a gun, but you can't have like basically just two pieces of metal. I don't know. Well, here's the other thing too. And again, I'm not saying these things are impossible. What I'm saying is that there are little keys and there are little keywords that you can look for that tells you that it's not serious, meaning unless you understand a process called baseline budgeting, you will know how ridiculous this whole thing is, meaning baseline budgeting.

I don't want to say a number, but it applies to the majority of the budget. Like you said, it's a lot of it's baked into the cake with entitlement spending and all that kind of stuff going forward. But baseline budgeting, I believe, applies what? Is it a 3.5% ratchet per year? So when they do these projections under baseline budgeting, they'll say, we'll have no spending increases over the next 10 years. Well, what they mean is other than that 3.5% automatic ratchet. Okay, so when they even say the word to you, we're going to keep bending steady. That means steady other than that 3.5% baseline increase that we're giving it every year. So unless you hear terms like stalling out the debt and getting rid of baseline budget increasing baseline budgeting, it's that's why it's not feasible because Bottom line is to get those numbers to converge, debt and economic growth, you've got to be growing the economy 33% faster than you're increasing spending. And just go look at the numbers. You can't inflate your way out of things that keep

up with inflation. And most government spending does. So I think this, I think the status all is 80% of the budget's growing at a kager of about 10%. So like, And in Luke Roman, which we have to get him on the show, I reached out to him. I know he couldn't do July. I got to reach back out to him. He's too busy in Scotland having a good time. But of course, he's taken this metric that he follows really closely. I think he calls it real interest expense. I can't remember what he calls it. But he just takes interest expense and then Medicare, Medicaid, Social Security, VA.

like health benefits for like retired military. And maybe Pentagon, I don't even think Pentagon's in there. And like that stuff's like way above tax receipts and growing at a rate that you can't even keep up with it while trying to inflate out. So like the math just doesn't work for what we're trying to do. Now, no, and if you let if you get a supernova of inflation, sure, but like One other thing I think that's really important to point out here too is that you've got these baseline budgeting impacts and all the stuff that we're discussing. Remember, the other pernicious part of that is that the bigger the deficit spending is as a percentage of the economy, the more impactful it is to economic growth, which means the more damaging it's going to be to GDP growth if you cap that spending.

Right, so like it's just it is so much more of a Gordian not then then then look and I I'm not critic the the other thing is I'm not criticizing the Trump administration for at least talking about it at least bringing up the idea of trying to Cut the deficit and cut the debt meaning have they taken any real actions to do it? No, but but you know outside of doge Which you know we don't need to get back into that debate and all that kind of stuff But you know at least they brought it up, but the people need to understand what a Gordian knot is. And I honestly do not believe, and I'm not going to sit here and call the guy a liar. I don't want to call people out whose character that I don't know. But that's why it's really hard for me to listen to statements from administration officials, members of anybody who says that it is actually a viable goal to grow your way out of it. And again, I'm not saying that it's impossible.

But when you walk through the things that we just walked through and you look at what that would take and you look at what that would cost in terms

of economic growth, in terms of unemployment, in terms of all these different things, you're looking around and going, look, if we have the stomach to do that politically, we would have already reformed all of our entitlements. If we can't deal with Social Security and the obvious wall that we're speeding after, you think we're going to untie the Gordy and Knot that's baseline budgeting and all that other kind of stuff? To me, I feel like it's once again just another advanced. version of symptom treating, meaning we don't like what we're seeing here and there. And we're going to try to tamp that down by talking a certain way, even though we're not actually going to tackle. And again, to be fair to them, no administration prior was either. I'm just talking about this to illuminate to listeners and to investors that, hey, the period of repaying this bill and paying this bill period, it is begun. And I think that's kind of the clearest takeaway you can take from all this.

Yeah, they're raising taxes or disinflation taxes at the end of the day. It's a way to pay for it. There's no way to pay for it that's fun or enjoyable. If you live beyond your means for a few generations, well, you got to pay it back by living beneath your means. There's ways to manage that that make sense, and there's ways to manage that that don't make sense. So far, we just have never really managed in a way that makes sense, and that's not new in the last year or two years. five or 10 years, like we just stayed on this kick the can trajectory and like, let's, you know, let's just worry about it some other day. And the problem is the day is starting to show up a little bit. Yeah. And so whatever. Yeah. Yeah.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Yeah, let's hit the rundown, yep. Before we forget, so S&P closed flat, equal weight up a smidge, cues, same thing, flat to up a tiny bit. Small caps down a tiny bit. Mag seven also flat all world X us was down about point four and that's because the dollar was up point two five Inside mag seven nothing moved enough to talk about Yields you're up about four bits on the two up two on the ten up one on the thirty so pretty flat there honestly Oil pretty flat although it had a huge trading

range was down big then up a bit and then close pretty flat Gold down 1% it's about the same for silver Gold miners down 3%. They honestly deserve to take a break after the run they've been on. No kidding. The rest of the metal, rest of the metals also red, but hey, you know, dollar rates up, you would expect some pullback here on metals and we're getting it. Vol kind of flattening out a little bit here to have a completely flat day and Vol was only down point, nothing like kind of notable to me. The AI trade was even flat flat on the day. So You had a lot of big, flat nothing burgers. Um, as I'm looking through some of the ETFs and stuff we own, I'm trying to see if anything really moved in a way that's even worth mentioning or single names. Yeah, not really. Like today was just a big nothing burger as the market is probably just going to kind of coast into Jackson Hole before it does much movement. Yeah. We've got, uh, in video earnings today, don't we? Yeah. Have they announced yet? I just checked the stock. No, I think, I think the easy.

I think they usually come out pretty late. They're usually an hour after the close order. Speaking of NVIDIA earnings, they're certainly going to be meaningful. They're certainly going to tell us stuff. I really don't know how much they're going to tell us as it relates to the underlying valuation of the company, meaning... They're more about understanding the ecosystem than they are about their earnings now. Yeah, and understanding and the problem I have with that is that It feels like with every piece of look and I'm not calling it a short. I'm not calling it, you know, whatever I'm just saying with every new quote-unquote deal I hear them announce I feel like I'm beginning to look at a Wall Street Bank as opposed as opposed to a chip. Yeah, I was just thinking the same exact thing where like even if I liked them on some ways It's such a nasty web that I could not untangle if I wanted to to where they've invested in every single part of the ecosystem with equity, with debt, credit, with probably some IOUs on sticky notes. It's to the point where I don't even understand anymore. What I do know is they're very exposed to AI. So if there's a hiccup, there's going to be a problem for them. That's all I know. Yeah. And here's what else I do know. And there are very few CEOs.

that I respect. Now, I do not know him as a person at all, but I respect. I find him to be a really hard guy not to like. I think he's super smart. Yeah, Jensen

Wang. But what I will say is that history is replete with a lot of different examples of this. When you're very rarely, when a company is a position like Nvidia, that when you see them kind of building this web and putting all this investment and all that kind of stuff, very rarely do those investments at the very least, or best case scenario, very rarely do those investments come anywhere close to providing the types of returns that the actual fundamental business is delivering. Do you know what I'm saying? And it's not like NVIDIA is making those investments at the cost of selling chips. I'm not saying that.

But normally, and I'm sure there's examples to the contrary, but normally, NVIDIA is where it's at because of their understanding and deep knowledge of GPUs and the pioneering that they've done on that front and all that kind of stuff. NVIDIA is not where it's at because they're a brilliantly run tech fund that's made incredible investments in a bunch of other businesses, right? They're experts at running their business. Again, if you want to just throw the historical averages at that thing, I would say that on balance, all of those investments are highly unlikely to produce significant returns in relationship to the underlying business itself. So my point is what you usually see eventually is those types of investments actually watering down.

the financial performance of the underlying company as far as enhancing it. Am I saying that's guaranteed to be baked in the cake as far as Nvidia goes? No, I don't know the future like anybody else. But I do know that as excited as it gets people, I sit there and look at the other side of it and go, boy, I see a big potential with not a lot of upside that that could just water down the financial results of Nvidia for a significant period of time. Maybe it doesn't turn out that way, but it's making it harder and harder to evaluate, especially at this price level. Yeah, it's gotten cheaper, but I think when you kind of back away and look at it like all this all this like vendor financing that they're basically doing where they're Helping their customers buy the chips if you think about it. They're just subsidizing their own margin with their own balance sheet and That means the market probably is looking at it going okay Well their margins are at least partially distorted by the fact that they're buying their own margins so like I'm gonna lower the multiple like thinking of it that way and then the big picture the big picture part on AI that bothers me. And it's where like, short-term, I'm not really a big bowler

bear. Like it's just too complex, I think, and too unknowable. But if I really zoom out, what I do know is, and Marco Papich was making this point, and based on a book that I have over here, but if you look at history, like the last 500 years of the way CapEx booms work, go back to, you know, coal, canals, train, you know, rail.

dot com, whatever. The problem with those things are the things we throw a bunch of money at that are really changing the world for the better is nobody knows when to stop. Nobody knows when supply and demand have met. We always overshoot. And that's going to happen again, like to the point market made, like no one ever stops and goes, Hey, whoa, whoa, whoa, I think that's enough canals or that's enough rail. Let's let's chill out here. You just go until one day you wake up and the market's like, Oh, that's enough. And you're like, Yeah, but we still have this. a bunch of orders in. What do you mean? It's enough, right? That's my concern with this is I don't know when I don't know why I don't know by what magnitude, but we're going to wake up one day and we're going to realize this is about right for now. And then we're going to look over and there's going to be this five year order book for all this stuff that's still coming to meet the current demand. So like you have current demand and then you have future supply. None of us know how those two things click together. I just know that at some point they won't click together well.

And then it's just going to get weird. And I hate that. That's why I can't just be like, let's put 40% of the book in AI loans because you're going to wake up one day where that doesn't fit. Yeah, no. And like you said, that is guaranteed to happen. And the reason it's guaranteed to happen is because price changes far faster than the production cycle moves on any type of product, right? Meaning, All of a sudden, the whole reality underlying price can change drastically in the space of two to four weeks. Okay. The production cycle is far. So bottom line is, inevitably at the end, what creates the crash is all of this production lined up in the tubes of the production companies that no longer has a buyer. There you go. It's like driving a race car at 200 miles an hour. But instead of looking through the windshield, you look out the side window.

Because at the end of the day, they're taking current demand and they're projecting where they think demand will be in, say, three or four years for all these investments. And they don't know. None of us know where the demand is. Now, I may be underselling it. Maybe the demand's even higher than they think. That's all possible. All I know is they're looking sideways while driving fast forward, spending literally trillions of dollars. And the risk is that you smash into the wall, right? It didn't make me uncomfortable to like take big shots at that stuff. I don't know how people do it. Yeah. No, well, like I said, I especially when there's, you know, I think there's so many other attractive targets and things to understand, you know, it kind of reminds me of, I was listening recently and the talk, you've heard a lot of people talking about it, a lot of quote unquote, and I'm not trying to be a jerk when I say this, but a lot of quote unquote smart value investors talking about, oh, financials, you know, look at that rising rates, help financials, all that kind of stuff.

Okay, I listened to, and I know that you and I agree with this, so I'm kind of preaching to the choir as it relates to you, but whenever I hear those talks, I always chuckled myself because I sit there and I go, look, and I listened to a speech that Paul Singer gave, and I can't remember exactly the date, but it was well after the financial crisis, and I believe it was fairly recently. And the subject of financials came up. And he said that he deployed 150 different analysts to go break down Bank of America. And they came back and they said, we don't know any more than when we started, right? We know some numbers. And the reason why was if I remember correctly, I want to say like, had a billion and a half of cash on hand. And they had some hundreds of billions of assets on the balance sheet.

And then you flipped over at their derivatives book and it was over two trillion or something no 75 trillion 75 trillion and derivatives exposure in the book and what he said was he goes look and very similar to 2008 2009 meaning What they're gonna come back and tell you is that oh, yeah But that's the way it looks to you see this offsets that risk and this offsets that risk and all that other kind of stuff Well, what do we know happens in periods of market volatility? The relative volatility between asset prices breaks out. It blows out. So instead of that historical average of those prices moving like this, they start moving like this. Meaning, when you've got a

derivatives book with that level of exposure compared to the underlying assets that you have, no matter how great they are, no matter how many hundreds of billions, When you're talking about that level of derivatives exposure, there's no way. There's no way for you to know what that really is and how it's going to trade during any level of stress. And there's no way for them to know it. Exactly. And we saw it in 08, right? There's things that seem riskless that we're holding the whole system up by a toothpick. Yeah. So good luck figuring that stuff out on your own, right?

Yeah, or just simple things. Maybe the off. Or maybe they hedge that and you didn't realize it through the opacity, right? Right. Or maybe you're hedging this potential risk with a credit default swap of this person. But maybe the guy you bought the credit default swap goes under. Maybe the guy you bought it from goes under, right? Now what is that? You've got that toxic thing on your balance sheet. You have nothing to hedge. And as a matter of fact, the hedge you've been paying was just dead money, right? Because anyway, I Look, I am not... Speaking of, the market's up 13, banks are up 14. That pales in comparison to so many easier trades. I just don't understand why people are so pumped about it. No, exactly. And again, I feel like there is a bit. I feel like a lot of these...

AI plays especially Nvidia are starting to kind of remind me of the banks. Meaning, listen, I can't tell you if or when they're going to break. What I can tell you is these people saying they're cheaper, expensive. I have no idea. And the other thing I'll tell you, if Paul Singer and 150 different analysts can't figure it out, you're not going to and I can't. I know that, right? There are very, I don't trade the banks. I know I don't know what they're worth. Oh, no. And if singers look at you and say, and I can't figure it out, like, Hey, That's a dude. I don't know if there's many more smart operators when it comes to evaluating distressed assets and things of that nature and and and value generally. I mean, I put him, you know, at assessing value and financial health of different companies and understanding what drives them and all that other kind of stuff. I mean, I put him right up there with Buffett. You know what I mean? Seeing risk, understanding hidden, you know, risks on balance sheets and all that kind of stuff. So yeah, man, I just Again, like we've said for a long time, I guess it's nothing new, but for me, I just put that stuff in the too hard pile. One other

thing I want to talk to you about, a guy that we've had on the show before, it'd be fun to get him back on, as a matter of fact, would be Warren Pies. And I saw a recent thing he did, where he was calling. I didn't read into any of this. I didn't get a chance to see it. I just saw snippet. But I heard him recently saying that he was dropping equity exposure.

that he's getting concerned. Did you hear that? And if you did, what was he speaking to and what's he looking at? I think a lot of it comes down to he thinks they're gonna have to hike soon. And he thinks that's gonna be problematic to a degree. Now, he just went back to benchmark. It's not like he's short or slashed, exposure. But they went from overweight back to benchmark for not only equities, but I think commodities as well. And on macro risks and they did, you know, good timing, like no kidding. About the time we blasted off, you know, on those on those hyperscalar earnings. And then he's like, all right, that's good. Like pulled back. And I'm sure enough, it's been a bit of a struggle of late. So it's really that. And speaking of speaking of Warren, like they do really good work on following along all these different data points for AI. They flagged that some of that stuff slowing down a little bit.

And I think that stuff's getting more and more important because to the point I made earlier, like the, you know, today's demand and then tomorrow's supply, that mismatch. If you ever get a big falling off of how much you can charge and how much of it is allocated for AR, you know, that's where it's going to be really rough. And that's where like that future supply starts looking ugly. Because like if prices are falling off for like GPU rentals or whatever and you know, you have a bajillion GPUs still to come, you have a problem. So like to me, all that stuff has to come. If it's not redlining hot, you have to start getting really concerned. Now, so far it cools off. It comes right back. But just because those margins will disappear so fast. I mean, literally, you know, you could see those margins.

Again, I'm not predicting this. I'm just saying it is absolutely possible and not not You know not crazy at all. You could see those margins compressed by 30 to 50 percent in the space of 30 days You know for the model and for the model builders you already see They're having a slash prices because if they don't people just go use the the cheaper free stuff right free air quotes,

but like So well and spend a bajillion dollars to make the most Gucci model and then no one shows up like No one wants to pay for it. And when you're spending that kind of money, you can't afford to sit back and say, hey, we're not lowering our prices. We're going to hold here because this is what our product deserves. No, when you're spending that kind of money, you got to keep water going through your gills. And if you stop, you're dead. And that's why as cool as 65% to 85% net margins are, and as cool and as much of a dream that is, and as quick as that cash stacks up, that's why the allure of that is also the danger of that, right? Because how many companies in the world have sustained 65% to 70% margins for long periods of times? And I will say on the flip side, at least short term, there is one nice little bull case for all the hyperscalers, the cloud providers, and that is because you're running hot on pricing, a lot of their contracts they had will reset higher even though it's legacy stuff. It may be an older data center that's pushing older chips, but that stuff's still tight. So like they're going to reset some pricing higher. The funny thing is the more I think, this is a weird thing to say, but the more I think about the, the just data center business is it just feels to me really basic actually, like it's just an offshore oil drilling rig.

You just have a machine that has basically almost like a day rate contracted, and it has a utilization rate of how much of it is being put to work. So you just basically have day rates and utilization rates. And as long as those are tight, they're going to mint money. But if they ever get loose because you built too much, trust me, I've been there to see that with offshore rigs. It's not that the pricing gets bad, it gets catastrophic. Now, I know everyone thinks that you could never have enough you know, demand for compute. But trust me, everyone thought that about oil rigs and, and, you know, insert, you know, pick your asset here because so far we've never really invented anything that we had infinite demand for unless the price was really close to free. And judging by the price of a chip and electricity, this stuff is going to be close to free anytime soon. No, not at all. Do we have do we have any info on Nvidia yet?

Oh, I've got him down one and a half Yeah, but I don't think anything's come out yet. Oh, maybe this yeah, maybe maybe it's popping up. I see that the top live over here Yeah, I like I said, I you know whether I mean a huge move one way or the other would make you dig in but I again I I don't even

know I mean look you're gonna find people that will tell you this margins margins coming in lower than expected That's interesting forecasted margins that is okay Some of the minutes were up to 76 and a half percent and they're coming in closer to 73 and a half to 74 and a half so some slippage Yeah, see I just don't know how I just wouldn't want to own a company that would create a 40% to 50% hit to my to my bottom line if they're if their net margin slipped to 45% You know what I mean? I like As much as I respect it and I'm in awe of them printing that kind of money and producing those kind of margins, like tip of the cap. And it's like, don't you want some? And I'm like, no, no. Why? Especially knowing that the Chinese are working overtime to try and catch up. Yeah. I just feels like you're just, it just feels like you're putting your hand in a door and just waiting for somebody to shut it. You know what I mean? Um, anyway, man, do you got anything else that we haven't hit today? Um, the guards are going for seven in a row today. That's all I got.

Oh, where are they at right now? What's the record? We're like one game above 500. We got in red hot after being insanely cold. So now we're we're in the wild card and we're two and a half back at the division all of a sudden after being in fourth place like two weeks ago. There is the most incredible mariner thing going on right now, which is just in my opinion. That's bad. If you don't touch downs. But it's no I know but it's but also they're starting to win some games here and it's it's There they're in my opinion is throwing that lure out there to get you to bite one more time Well that may that may be happening to me too. Yeah. Oh, well. Yeah, it's I guess well you guys have had a lot more success than we have but I've got the playoffs. I don't I don't care if we get swept in playoffs I just want to be there. I got PTMD post traumatic mariners disorder So I'm just I'm not I'm not gonna I'm not taking the bait again. Anyway, all right, so I'll go ahead and they're like four and three or something in the last seven but the run differential is like negative 40 because they got obliterated in two of those games. This is a wild looking line. No, and it's in it's I know that it's kind of I know that it's close to historic at least in Major League Baseball to have two games where you lose by a combined Seven so what would that be 17 to a 39 runs within a week? Two games you lose by a combination of 39 runs in seven days, but you're both 100 And we're setting yeah, we're setting we're setting records, baby It's it's we're all about excellence and set records here in the

Mariners. So We got that to offer you guys. All right, man. I gotta drown I gotta drown myself in baseball because football is gonna be weird at least on the NFL level College I'm ready. No, just double down man. You've got your set. You've got your you've got your step your step team the Seahawks You've got a super team that is fair, but it's not the same. Yeah, no, I know but yeah, I mean, it's like, you know, I mean It's not like you're not gonna cheer for your adopted child too, right? Like speaking of speaking of my real child is turning into a Seahawks fans of Browns fans So I have an identity crisis in the house There we go. That's my girl. I'm going to send her. I'm going to get off. I'm emailing her jerseys right now as soon as we get off this deal. She'll take it. All righty. All right, man. All right, guys, as always, you can follow Chase and I. I'm at KYR Radio on Twitter, on X. Chase is at Pinecone Macro. Get the video feed for the podcast on YouTube. Just search Know Your Risk podcast on all the different podcast sites.

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